Capita

Customer Management Divisional CRC Pack

Client XXX
Services XXX

January 2020

Purpose and Agenda

Agenda

- XXX
- XXX
- XXX

Decisions Required

- XXX
- XXX
- XXX

Note to BMs: No additional slides are to be added to the core deck. Please only populate those included in this template. Slides must be issued at least 24hrs in advance of the call.

Opportunity and Solution Summary

Client		
Term		
Value (TCV)		
Contract Decision Date Contract Start Date		
Basis of Order Book recognition		
Operational Catcher		
Client Requirement		
Services and Opening hours	• Key services • Opening hours	
People	• No of FTE • Location of activity today • Location in CM estate	• Attrition • Other shrinkages • Assumed redundancies / TUPE position
Technology		
High Level Interventions (Detail slide 6)		
Related / other key Information		

Key Pricing Information and Assumptions

Category	Assumptions and Dependencies
Contract Duration (Term and break clauses)	
Commercial Mechanism	
Capita Commitment on Interventions	
Site	
Charging Terms - Set up costs - Payment days - Milestone payments	
Operational - Peak/Average FTE - Agent Pay Rate - Monthly Attrition % - Team Leader Ratio - Ops Manager Ratio - Seat Ratio	
Redundancy cost	
Gross Margin % and £ Net Margin % and £	
Risk / Reward scorecard %	
Indexation mechanism and date when next due	
Contracting Entity	

Profit and Loss template (without interventions)

Profit & Loss Account	Calendar year Total £'000	2020 9 m £'000	2021 12 m £'000	2022 12 m £'000	2023 12 m £'000	2024 12 m £'000	2025 12 m £'000	2026 12 m £'000	2027 12 m £'000	2028 12 m £'000	2029 12 m £'000	2030 9 m £'000	2031 12 m £'000	2032 12 m £'000	2033 12 m £'000	2034 12 m £'000	2035 12 m £'000	2036 12 m £'000
Performance Obligation 1 Revenue	-																	
Performance Obligation 2 Revenue	-																	
Performance Obligation 3 Revenue	-																	
Non-contracted revenues included	-																	
Total Revenue	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transition costs	-																	
Relocation costs	-																	
Staff costs	-																	
IT BAU costs	-																	
Property costs	-																	
PP&S	-																	
BI & analytics	-																	
CFA Release	-																	
Other costs	-																	
Irrecoverable VAT	-																	
Redundancy costs	-																	
Bid costs & CoS	-																	
Total Direct Cost	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Bid (Gross) Margin	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Bid (Gross) Margin %	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate Overheads	-																	
EBIT	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
EBIT %	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cost of Money: expense / (income)	-																	
Capita (Net) Margin	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Capita (Net) Margin %	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Average Annual Capita (Net) Margin	-																	
Non Controlling Interest	-																	
Net Margin to Capita	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Margin to Capita %	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Profit and Loss template (with interventions)

Profit & Loss Account	Calendar year Total £'000	2020 9 m £'000	2021 12 m £'000	2022 12 m £'000	2023 12 m £'000	2024 12 m £'000	2025 12 m £'000	2026 12 m £'000	2027 12 m £'000	2028 12 m £'000	2029 12 m £'000	2030 9 m £'000	2031 12 m £'000	2032 12 m £'000	2033 12 m £'000	2034 12 m £'000	2035 12 m £'000	2036 12 m £'000
Performance Obligation 1 Revenue	-																	
Performance Obligation 2 Revenue	-																	
Performance Obligation 3 Revenue	-																	
Non-contracted revenues included	-																	
Total Revenue	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transition costs	-																	
Relocation costs	-																	
Staff costs	-																	
IT BAU costs	-																	
Property costs	-																	
PP&S	-																	
BI & analytics	-																	
CFA Release	-																	
Other costs	-																	
Irrecoverable VAT	-																	
Redundancy costs	-																	
Bid costs & CoS	-																	
Total Direct Cost	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Bid (Gross) Margin	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Bid (Gross) Margin %	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate Overheads	-																	
EBIT	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
EBIT %	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cost of Money: expense / (income)	-																	
Capita (Net) Margin	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Capita (Net) Margin %	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Average Annual Capita (Net) Margin	-																	
Non Controlling Interest	-																	
Net Margin to Capita	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Margin to Capita %	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Balance sheet template

Balance Sheet	Average	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
		9 m	12 m	12 m	12 m	12 m	12 m	12 m	12 m	12 m	12 m	9 m	12 m	12 m	12 m	12 m	12 m	12 m
	£000s	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's
Fixed assets																		
Goodwill/ Intangible Assets																		
Fixed Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
CFA - pre service commencement																		
CFA - Other																		
Accrued Income																		
Debtors																		
Cash																		
Current Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred Income																		
Trade Creditors																		
Other Liabilities																		
Provisions																		
VAT control																		
Total Current Liabilities & Provisions		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Retained Earnings		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Working Capital	-																	
Capital employed	-																	

Cashflow template

Cashflow	Total	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
		9 m	12 m	12 m	12 m	12 m	12 m	12 m	12 m	12 m	12 m	9 m	12 m	12 m	12 m	12 m	12 m	12 m
	Years	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000
Operating profit	-																	
Movement in working capital	-																	
Add back: depreciation	-																	
Operating cash flows	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Investing Cash Flows- Capex	-																	
Investing Cash Flows- Investment	-																	
Cash Flow before Corporate overheads & Financing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate overheads	-																	
Cash Flow before Financing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Financing Cash Flows	-																	
Capita (Net) Cash Flow	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Financial impact to Current Forecast (for renewals)

Forecast

	2019 Jan	2019 Feb	2019 Mar	2019 Apr	2019 May	2019 Jun	2019 Jul	2019 Aug	2019 Sep	2019 Oct	2019 Nov	2019 Dec	2020 Jan	2020 Feb	2020 Mar	2020 Apr	2020 May	2020 Jun	2020 Jul	2020 Aug	2020 Sep	2020 Oct	2020 Nov	2020 Dec	FY 2019 Total	FY 2020 Total
FTE																										
UK																										
Other																										
Total FTE	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Revenue																										
UK																									-	-
Other																									-	-
Total Rev	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Margin																									-	-
	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%

Proposed Deal

FTE																										
UK																										
Other																										
Total FTE	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Revenue																										
UK																										
Other																										
Total Rev	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Margin																										
Margin																										

Key risks and opportunity assessment assumptions

For each risk/opportunity insert assumption/rationale used to calculate/estimate relevant figure for each base case, downside and upside box

	Category	Risk/Opportunity Description	Base case			Downside impact		Upside impact	
			Maximum risk exposure	Contingency included in bid price (£m)	Rationale	Practical worst case	Realistic downside case	Realistic upside case	Practical best case
1.	Pricing	Variable Revenue lower/higher than forecast		0.0					
2.	Pricing	Milestone payments at risk		0.0					
3.	Commercial / Legal	Unsecured investment balances on termination / unrecovered AI		0.0					
4.	Transformation	Significant IT and/or Transformation project deliverable		-1.5					
5.	Operational	Reliance on key (material) sub-contractor		-1.0					
6.	Operational	Contingency		-3.0					
7.	Operational	Service credits	£10m (all service levels carrying service credits failed for full term)	-2.5	X service levels deemed "amber" risk. X failure pa yrs 1–4 Y failures pa yrs 5-8	Service credit cap exposure less costed risk. £10m less £2.5m = £7.5m	X failure pa yrs 1–4 Y failures pa yrs 5-8	X failure pa yrs 1–4 Y failures pa yrs 5-8	X failure pa yrs 1–4 Y failures pa yrs 5-8
8.	Commercial / Legal	Indexation / COLA		-2.0					
9.	Commercial / Legal	TUPE / pension		0.0					
	Total Deal			**-10.0**		**-36.4**	**-9.7**	**7.9**	**23.3**

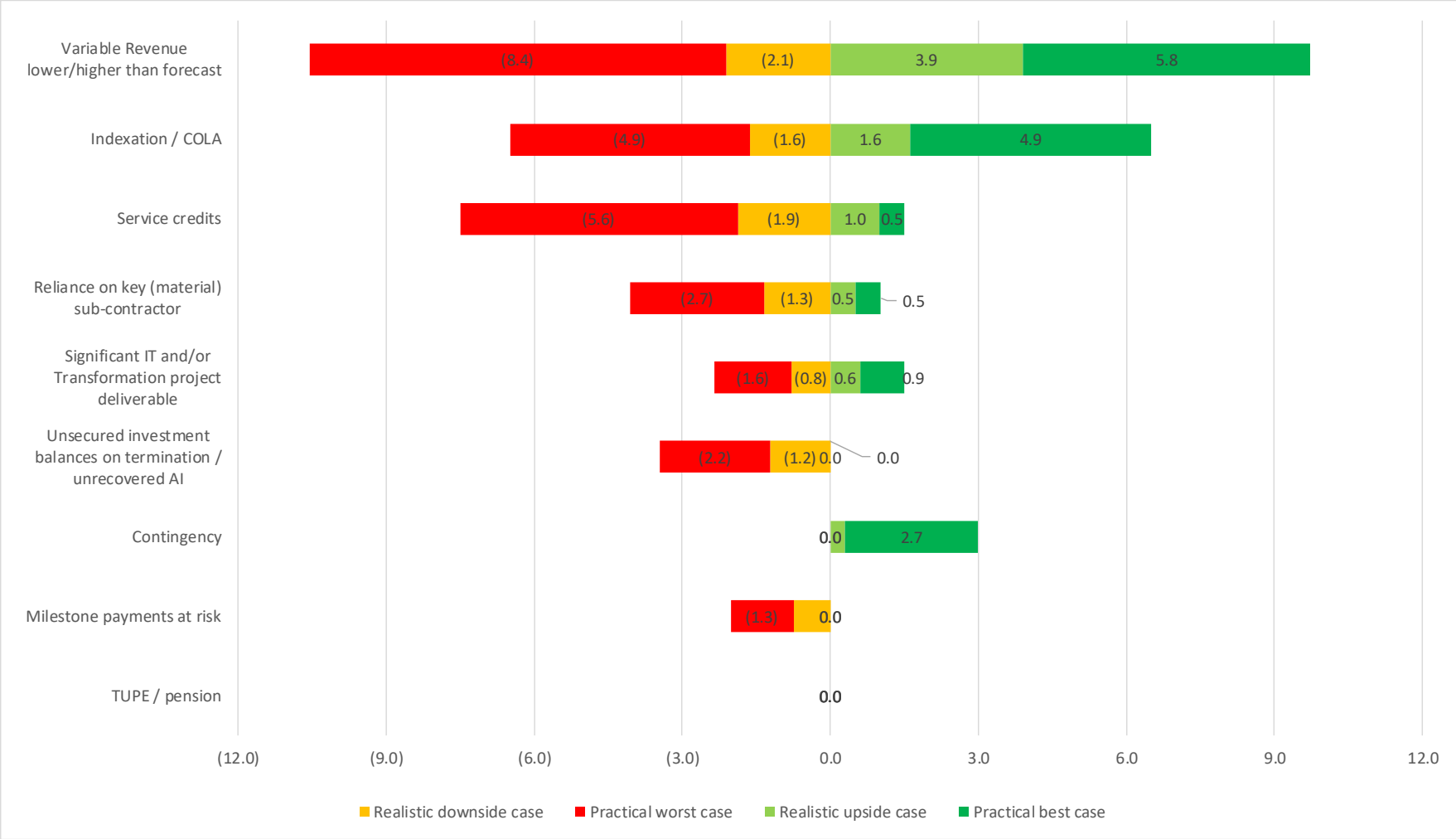
What are the key risks and opportunities?

	Category	Risk/Opportunity	Maximum risk exposure	Contingency included in bid price	Downside Impact		Upside Impact		Weighted Risk	Weighted Opportunity	Net Weighted R&O
					Practical worst case	Realistic downside case	Realistic upside case	Practical best case			
			£m	£m	£m	£m	£m	£m	£m	£m	£m
1.	Pricing	Variable Revenue lower/higher than forecast	100.0		(10.6)	(2.1)	3.9	9.7	0.0	3.5	
2.	Pricing	Milestone payments at risk	20.0		(2.0)	(0.7)	0.0	0.0	(1.0)	0.0	
3.	Commercial / Legal	Unsecured investment balances on termination / unrecovered AI	5.0		(3.5)	(1.2)	0.0	0.0	(1.0)	0.0	
4.	Transformation	Significant IT and/or Transformation project deliverable	(50.0)	(1.5)	(2.3)	(0.8)	0.6	1.5	0.0	0.0	
5.	Operational	Reliance on key (material) sub-contractor	(34.0)	(1.0)	(4.1)	(1.3)	0.5	1.0	(2.0)	0.0	
6.	Operational	Contingency	(3.0)	(3.0)	0.0	0.0	0.3	3.0	(0.5)	0.0	
7.	Operational	Service credits	10.0	(2.5)	(7.5)	(1.9)	1.0	1.5	0.0	1.5	
8.	Commercial / Legal	Indexation / COLA	0.0	(2.0)	(6.5)	(1.6)	1.6	6.5	0.0	0.0	
9.	Commercial / Legal	TUPE / pension			0.0	0.0	0.0	0.0	0.0	0.0	
	Total Risks & Opportunities (included in bid)			**(10.0)**							
	Total Risks and Opportunities (not included in bid)				**(36.4)**	**(9.7)**	**7.9**	**23.3**	**(4.5)**	**5.0**	**0.5**
	Total Bid (Gross) Margin and impact of downside / upside cases			**71.3**	34.9	61.7	79.3	94.6			71.8
	Total Capita (Net) Margin and impact of downside / upside cases *			**57.2**	20.8	47.6	65.2	80.5			

** Impact excludes any additional overhead that may be incurred if costs increase over and above the base case*

- "Maximum risk exposure" column above is shown to help contextualise R&O range shown
- Total Capita (Net) Margin of £57.2m is inclusive of "Contingency included in bid price" listed above (£10m)
- Practical worst case / realistic cases represent unweighted risks over and above what is included in the bid
- It is suggested that the "Weighted R&O" be determined by Divisional CD's / EO's / DFD's, supported by the deal teams insight

What is the balance of risk & opportunity? (£m)



- Chart shows key R&O items by size of range and quantifies potential impact on the Bid (Gross) Margin
- Risks and opportunities should be assessed as to whether they are balanced overall

What is the bid level NPV, IRR & Payback?

NPV & IRR & Payback Summary

	Bid Level (pre finance cost and corporate overheads)	Bid (Gross) Margin	NPV	IRR	Cashflow payback	DCF payback
		£m	£m	%		
1.	Base Case margin (Operating Cashflow)	71.3	44.3	107.7%	Month 23 | Nov-2021	Month 23 | Nov-2021
2.	Base case plus net weighted R&O	71.8	43.9	91.3%	Month 25 | Jan-2022	Month 26 | Feb-2022
3.	Realistic downside case	61.7	37.6	91.2%	Month 25 | Jan-2022	Month 27 | Mar-2022
4.	Practical worst case	34.9	19.4	53.7%	Month 34 | Oct-2022	Month 36 | Dec-2022

Bid Level Invested Capital plus PCG / maximum liability cap invoked scenario

Capital invested plus PCG / maximum liability cap invoked - bid maximum exposure	(57.6)	(56.7)	-	n/a	n/a
*Estimated NPV & IRR if deal runs to natural expiry**	21.3	(5.2)	9.1%	n/a	n/a

** This assumes contract profit will recover immediately after claim payments for breach, inline with original deal approved estimates. It is probable that either the contract would terminate early or if it were to continue, Capita would incur additional costs over and above the original estimates which may result in a write-off*

Memo: Weighted Average Cost of Capital (WACC) used for NPV / IRR: *12.0%*

Note: Capital invested is based on peak negative cashflow balance over the start of the deal (circa 12months)

- The "Capital invested & PCG / liability cap invoked" case assumes PCG / liability cap crystallises on day 1.
- Note that deals with multiple positive / negative cashflow cycles will have multiple IRR's – tbc how this is to be shown / reported to CRC. Options include calculating and showing multiple IRR's, or the single "lowest" IRR, or a derivation showing weighted average IRR could be shown

Key risks and mitigations

Risk	Pre-mitigation RAG / rating	Impact	Mitigation and Comments	Post-mitigation RAG / rating

Contract Review

Matter	Client Requested Position	Suggested Approach

Capita

Supporting Information

Transformation Projects & Interventions

Lever	Committed benefit	Committed benefit (£)	By	Tools	Total cost to deliver intervention / benefits (£)	Proof Point	Intervention approved by
Intervention description	*What are we committing to the client?*	*What monetary value are we committing to the client?*	*Commitment date*	*Description of technologies / tools to provide intervention*	*How much will cost us to deliver?*	*Describe where we have done this before and what was the realised benefit vs. what we had committed to the client?*	*Key delivery stakeholder approval*

Note to BMs: The approved slide at solution review must be included in the CRC pack for reference

Key Changes from Previous Submission

Slide Number	Former position	Proposed Amendment

Responsible Business Checklist

Countries and Political Environment	Opportunity Status
We will not do business in any jurisdiction, or with any third party operating in or from a jurisdiction, where: (a) there is known political instability; or (b) where the jurisdiction operates outside international norms, including international treaties such as nuclear arms treaties.	
We will not do business in with any person or company, or in any jurisdiction or sector, where is it prohibited under law, including trade or financial sanctions.	
Where trade or financial sanctions are issued by one country, such that it may be permissible for Capita to undertake business without infringing such specific sanctions, the decision to proceed will be judged against the impact on the overall group, not the individual business recommending the business opportunity and against the long term success of Capita, and not a short term financial or other opportunity.	
We will not operate in any jurisdiction where foreign exchange controls or related controls would prevent the repatriation of cash, distributable reserves or assets from such jurisdiction to the UK.	
In some jurisdictions, Capita, as a foreign company is prevented from operating without a percentage of equity being held by a national or government body or where designated nationals have a local company board presence. Whilst not an absolute prohibition, we will give additional scrutiny to any opportunity where this applies.	
People/Societal	
We will ensure that all activities undertaken comply with our stated positions – whether in our Responsible Business commitments including diversity and inclusion, our Code of Conduct, our Supplier Charter: for ourselves and for our clients.	
We will not do business in any jurisdiction or with any third party operating in or from a jurisdiction where the rule of law is not upheld. This includes: (a) access to justice and respect for human rights; (b) appropriate protection for intellectual property and other strategic assets; (c) inability to seek appropriate legal redress, either through the courts or arbitration.	
We will not do business where the rights of citizens are adversely and/or routinely subordinated or suppressed to the will of a Government or regime or where there are routine human rights and similar violations.	
We will ensure that all relationships with suppliers are evaluated against the same standards.	
Activities and sectors	
We will identify sectors or activities where we will have an absolute prohibition on engaging	
We will identify sectors or activities where prior to entering into any new arrangements or extending existing arrangements we will seek specific approval.	
Environment	
We will take account of the environmental impact when evaluating an opportunity	
Reputation	
We will assess the potential impact on our reputation when evaluating an opportunity. In evaluating the reputational impacts, we will consider: (a) the direct risk of possible damage to our brand and reputation; and (b) the associated risk to income, brand, support and public image arising from any association, action or inaction which could be perceived by stakeholders to be inappropriate, unethical or inconsistent with our Purpose, Values and Behaviours.	

Control Sheet (to be completed by the BM post CRC and saved for Audit)

Deal Component	Business Unit	Division	Group
Financial Model	❑ Business Unit FD	❑ Divisional FD	❑ Group FD
Commercials	❑ Business Unit Commercial Director	❑ Divisional Commercial Director	❑ Group Commercial Director
Operational Solution	☑ Business Unit Operations Director	☑ Divisional Operations Director	
Cost Base	❑ Business Unit Operations Director	❑ Divisional Operations Director	
Transformation Plan	☑ Delivery Assurance		
Overall	❑ Business Unit Director	❑ Divisional Director	❑ CEO
Solution Signed Off completed	❑ Business Unit Partnership Director	❑ Divisional Director	❑ CEO

Actions (to be completed by the BM post CRC and saved for Audit)

No.	Action	On who	By when